

International Business Law

Introduction to International Business Law

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1. Introduction to International Business Law (10.10.2025)

- International Relations
- International Political Economy
- International Business Law

2. Sources of Law and Economic Order (17.10.2025)

- Conflict of laws
- Subjects of International Business Law

3. Law of the EU (24.10.2025)

- History of European Law, Organs of the EU
- Legal sources and order of the EU, fundamental rights
- Lawmaking, enforcement of EU law, legal protection, market freedoms, and policies of the EU

4. WTO (31.10./7.11.2025)

5. Business simulation (14.11.2025)

Structure

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5. International Contract Law (21.11.2025)

- ROME I-VO
- UN Sales Law
- INCOTERMS

6. International Trade Policy (28.11.2025)

7. Foreign Trade Law, International financial policy (5.12.2025)

9. Presentations (12.12., 19.12., 9.1.2026)



Events



Das hat was mit Dir zu tun. Demokratie als Lebensgefühl

11.11.2025 18:00 Uhr

Veranstaltungsformat:	Präsenzveranstaltung
Veranstaltungsort:	Hochschule für Wirtschaft und Gesellschaft, C-Gebäude, Auditorium
Veranstalter:	Hochschule für Wirtschaft und Gesellschaft Ludwigshafen
Kategorien:	Podiumsdiskussion, Vortrag und Diskussion
Zielgruppen:	Alumni, Studieninteressierte, Hochschulangehörige, Interessierte, interessierte Öffentlichkeit

Di.
11. November
2025

Das hat was mit Dir zu tun. Demokratie als Lebensgefühl.

11.11.2025, 18 Uhr, Auditorium (C-Gebäude)

Ein Gesprächsabend im Rahmen der Reihe **„Es wird. Demokratie als Erfahrung und Erlebnis"** des Hochschulrates und der Hochschulleitung der HWG LU.

Keynote-Sprecher: Herr Dr. Fedor Rose, Chef der Staatskanzlei Rheinland-Pfalz

Weitere Informationen zu dieser Veranstaltung

Veranstaltungsort:

Hochschule für Wirtschaft und Gesellschaft, C-Gebäude,
Auditorium
C Auditorium

Certificate of Records

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Presentation in groups

You will receive presentation topics via OLAT. You will be divided into groups of 3-4 people. The presentations will be held in person at the OAI (see calendar). Fellow students may, or rather should, attend and ask questions. A short written paper, in the form of a handout or PowerPoint presentation, must be submitted and stored on OLAT.

1. Introduction

(1) International relations

(2) International political economy

(3) International business law

International Relations

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What are International Relations?

- Sub-discipline of political science
- Refers to the totality of interactions of actors involved in cross-border activities, as well as to formal and informal institutions that regulate cross-border actions.

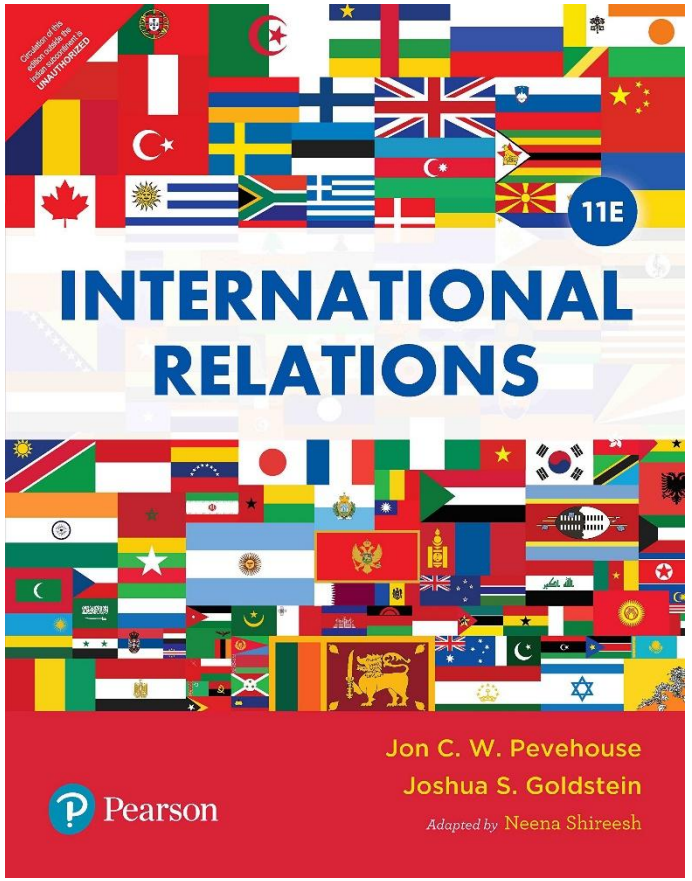


International Relations

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Thematic areas:

- War and Peace - Distributive Competition and Conflict
- Democratic Peace
- **International Trade Policy**
- **International financial relations and interdependencies**
- Causes of poverty and wealth in the world - Geography versus democracy
- Migration
- Human Rights
- International environmental policy

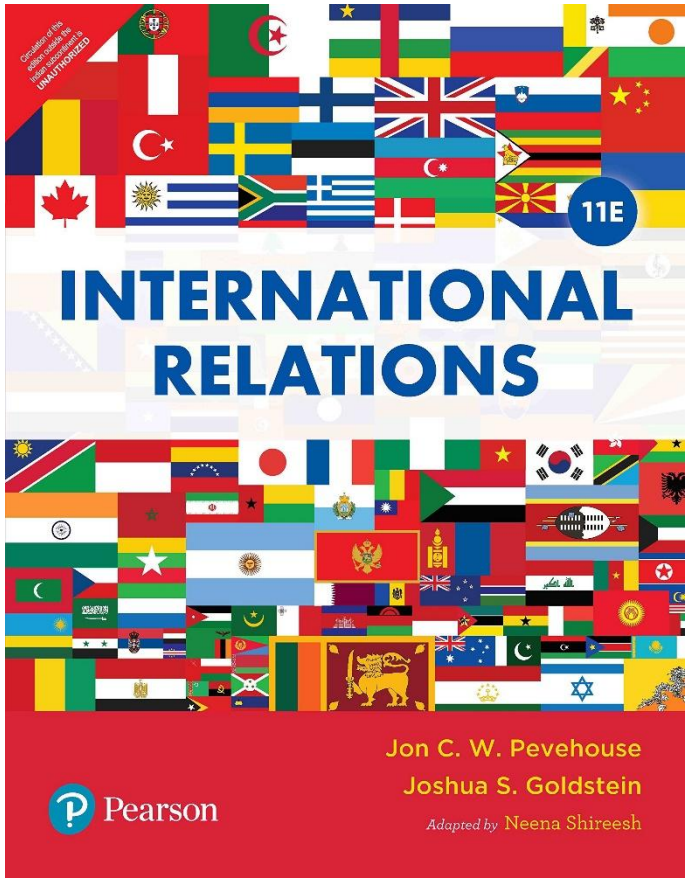


International Relations

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Framework of analysis: Interests, interactions, institutions

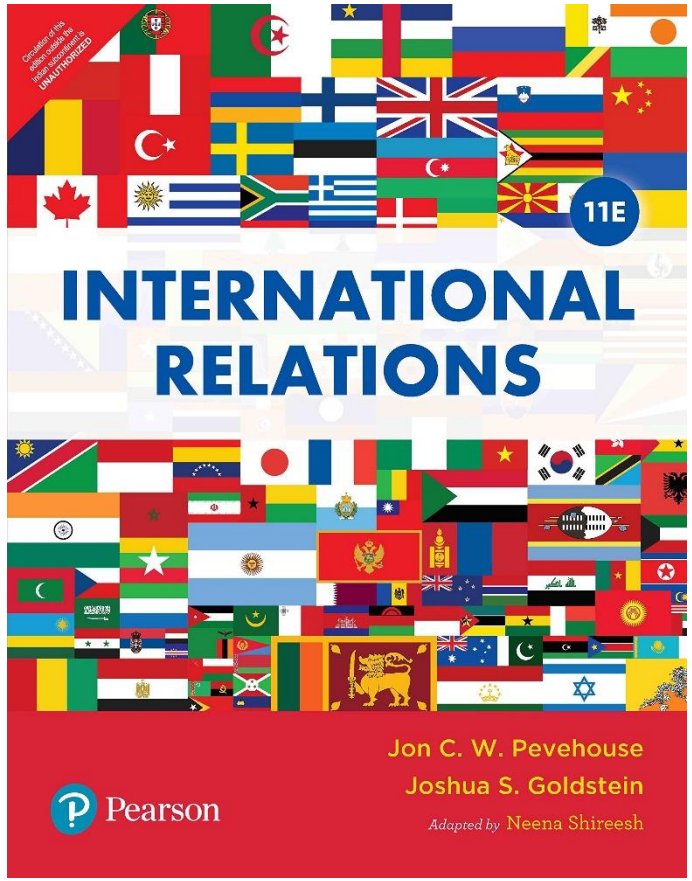
- **Interests** represent those goals that political actors want to achieve through political action; ranking of political goals is called preferences
- **Interactions** are possible or actual combinations of the decisions of two or more actors involved that lead to a policy outcome
- **Institutions** are rules in the broadest sense that are shared in a social community



International Relations

Results: Conflict, cooperation, harmony

- **Conflict** is a competition of interests or wills between two or more actors.
- **Cooperation** is when the actors involved each make a policy adjustment that mutually leads to a higher compatibility of interests.
- **Harmony** exists when there is no competition of interests or wills between actors or when unconditional policy measures on one side lead to a higher compatibility of interests.



International Relations

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Grand Theories of International Relations: Neorealism, institutionalism, liberalism, constructivism.

- **Neorealism**: Realism was coined by the philosopher Thucydides (460-400 AC). During the Cold War it was advocated by Henry Kissinger.
- **Core assumptions**:
    1. the international system is characterised by anarchy.
    2. states are the central actors in international relations.
       All other types of actors can be neglected in the research.
- **Anarchy** is not understood as chaos, but rather as the absence of a central authority that is able to set binding rules for all actors and enforce them against opposition.

→ Opposite of hierarchy

Institutionalism

- In terms of the history of ideas, institutionalism is linked to classical liberal economic theory, i.e. **Adam Smith** and **John Stuart Mill**.
- Institutionalists agree with neo-realists that states are the most important actors in international relations and that anarchy is an essential feature of the international system.
- However, they do not share the conclusion that states must primarily strive for security and survival and therefore are constantly in conflict with each other.
- Interest in increasing prosperity is common to states and can be achieved through cooperation.
- Greater prosperity is achieved through specialisation and division of labour.

Liberalism

- In terms of the history of ideas, liberalism is linked to **John Locke**, **Immanuel Kant** and, in economic terms, **David Riccardo**.
- Core idea: The behaviour of states depends decisively on a multitude of domestic factors, without whose consideration it cannot be understood
- States cannot be understood as a single entity (in contrast to neorealists and institutionalists)
- Externally directed behaviour depends decisively on whether it is a democracy or an authoritarian dictatorship

→ **Theory of democratic peace** (two democracies almost do not get into a warlike confrontation)

Constructivism

- It is not material factors that decide on conflict or cooperation, but immaterial ones, in particular the imaginary worlds of people and social groups.
- **Rationalism** claims that the essence of social life consists of the materialistic pursuit of profit; constructivism, on the other hand, holds that immaterial ideas of "*right*" and "*wrong*" or "*good*" and "*evil*" shape the social world.
- According to **constructivism**, the interests of actors cannot be simplified to predominantly economic cost-benefit calculations.

→ Social norms are essential.

→ **Samuel Huntington** concluded from this that modern international relations result in a *clash of civilisations*.

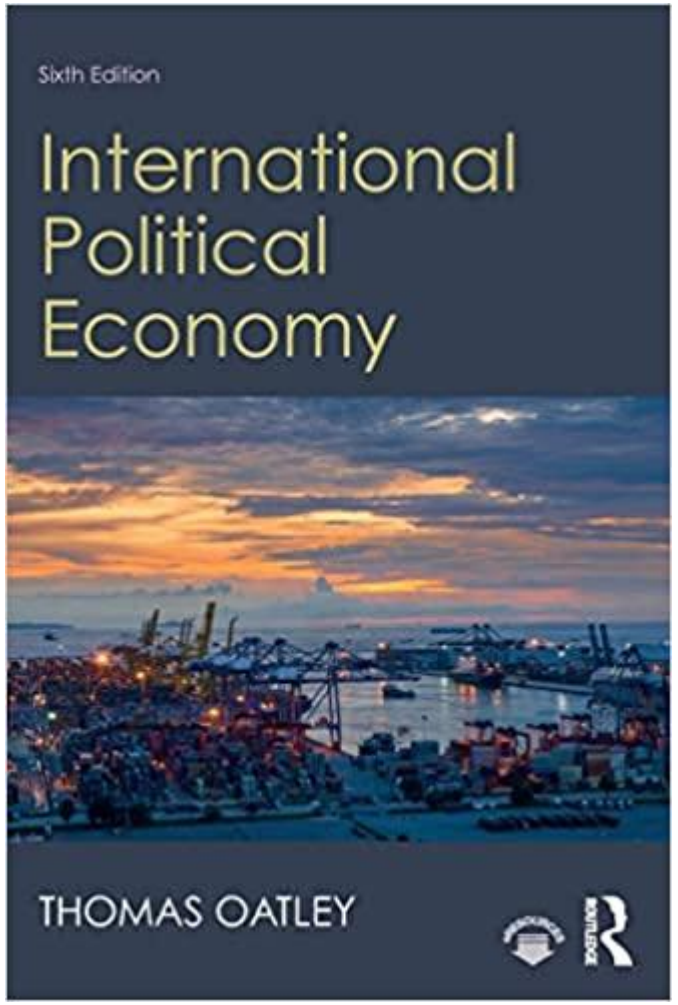
International Political Economy

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International political economy can only be described in very simplified terms as international economic relations

Thomas Oatley: International Political Economy
Routledge, 2018. ISBN: 978-1-13849074-1

Broadly viewing the global economy as a political competition that produces winners and losers, International Political Economy holistically and accessibly introduces the field of IPE to students with limited background in political theory, history, and economics. This text surveys major interests and institutions and examines how state and non-state actors pursue wealth and power. Emphasizing fundamental economic concepts as well as the interplay between domestic and international politics, International Political Economy not only explains how the global economy works, it also encourages students to think critically about how economic policy is made in the context of globalization.



International Political Economy

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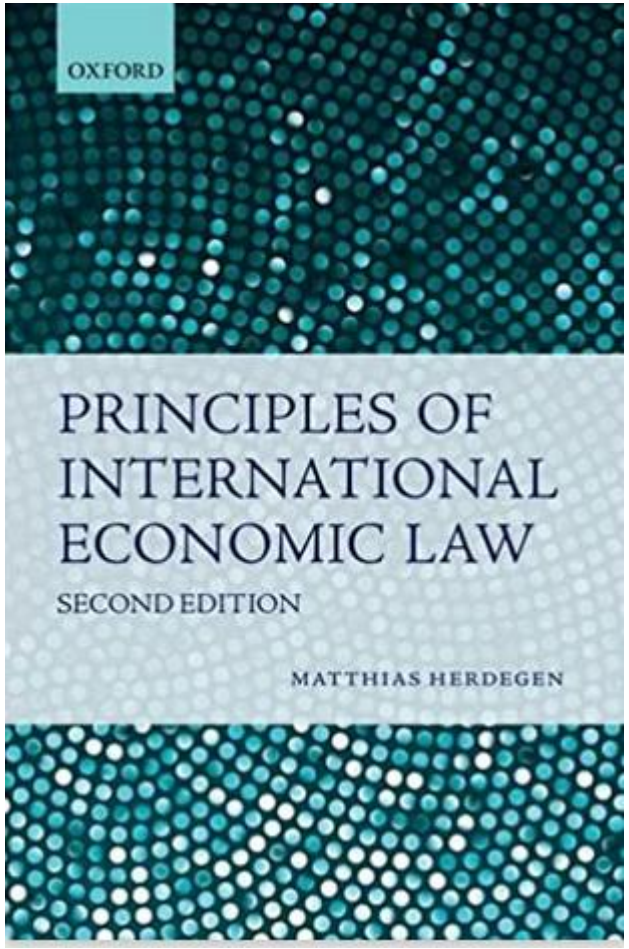
Topics and research questions:

- How does economics work?
- What is globalisation?
- How does globalisation change state and private options for action?
- What political strategies can be used to achieve the state goal of 'welfare'?
- How do social interests and ideas differ from the role of the state in managing the economy?

International Business Law - Introduction

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In English:
Herdegen, Matthias, Principles of International Economic Law, 2017.
Schaffer, Richard: International Business Law and Its Environment, 2017.



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In German:

Herdegen, Matthias: Internationales Wirtschaftsrecht, 9. Auflage, 2011.

Schöbener, Burkhard/Herbst, Jochen/Perkams, Markus: Internationales Wirtschaftsrecht, 2010.

Schlechtriem, Peter/Schroeter, Ulrich: Internationales UN-Kaufrecht, 5. Auflage, 2013.

Tietje, Christian (Hrsg.): Internationales Wirtschaftsrecht, 2. Auflage, 2015.

Text of UN-Law CISG http://cisg7.institut-e-business.de/pdf/gesetze/Deutschland.pdf

Cases of CISG unter: http://www.unilex.info/dynasite.cfm?dssid=2375&dsmid=14276

International Business Law - Introduction

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What is it about?

- Internationalisation of law
- Private International Law (IPR)/ International Business Law (IBL)
- International Business Law/ International Economic Law
- Global uniform law?

Significance of the International Business Law

Globalisation of economic relations:

- Integration above all of capital markets and trade in goods
- Dismantling of trade barriers
- Creation of an international monetary system
- Privatisation of public enterprises
- Location competition affects the legal framework
- Distributive justice

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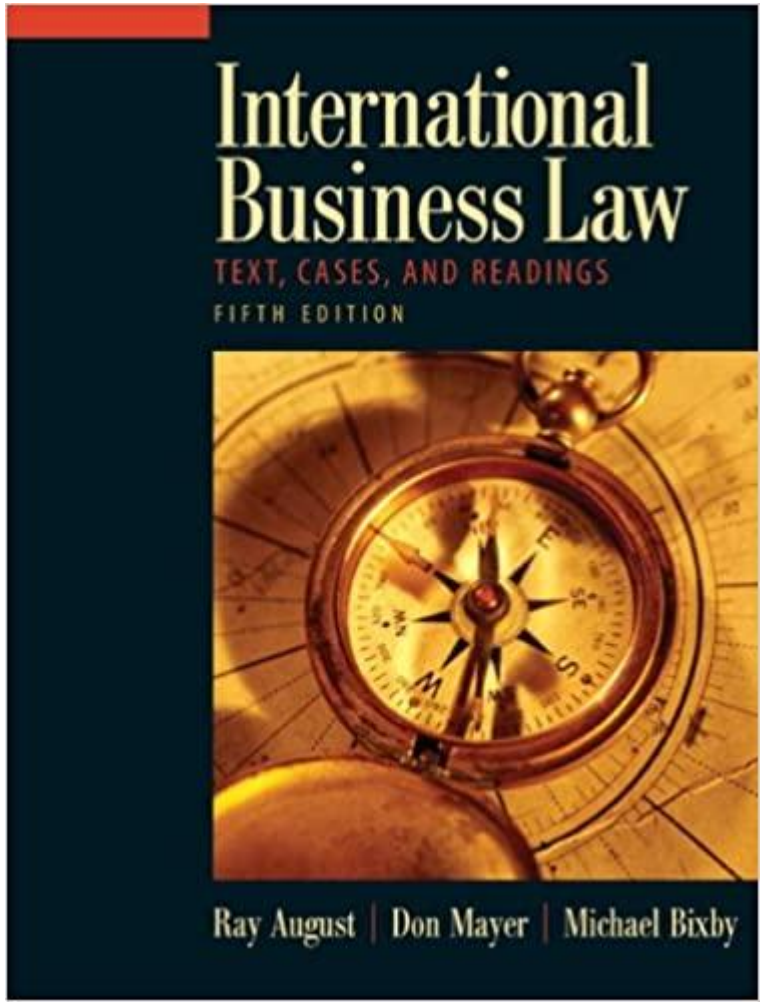
- Compensate for the loss of the state's undisputed ability to steer through international economic law (economic and financial crisis 2008).
- Whether this loss can be compensated by international economic law remains questionable!
- At present, the answer to this question is no!
- The importance of international economic law is currently being questioned.
- Abandonment of the idea of economic globalisation and international free trade
- Decoupling

International Business Law - Term

The term “business law" remains controversial to this day.
→ International business law equally controversial

Scope of subject areas covered:

- Trade in goods and services
- Protection of intellectual property
- Currency and finance
- Communications
- Transport
- Subfields: Labour law, social law, environmental protection



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Legal order for international trade in goods and services, international capital movements, cross-border establishment of companies and migration of labour.

Regulation of international economic relations in the web of international law and national norms

- International law
- National foreign trade law
- Civil law elements of national economic law
- Private international law regulates which national legal system applies to relations between the parties (conflict of laws)

International Business Law

International law aims to regulate relations between states and to protect human rights.

Legal sources of international law according to Art. 38 Para. 1 Statute of the **International Court of Justice**:

- International treaties
- Customary international law as an expression of a general practice recognised as law, also referred to as "soft law".
- General principles of law recognised by civilised peoples
- Judicial decisions
- International law doctrine



International Court of Justice

International Business Law - Introduction

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- **¡¡¡ Treaties on interstate economic transactions !!!**
- Binding of the contracting states
- No legislative bodies
- No central government
- No direct applicability to enterprises and individuals in contracting states
- Implementation in national law required



Public law

“Continental jurisprudence is characterised by a fundamental systematic division of all law into public law and private law. Public law, in contrast to private law, regulates the relationship between the individual citizen and the state and the other holders of public power, as well as the relationship between public bodies or holders of public power. ***If this concerns the relationship between states with equal rights, it is referred to as international law.”***

Source: Springer Gabler Verlag (Ed.), Gabler Wirtschaftslexikon, Stichwort: Öffentliches Recht, online im Internet



Distinction from public law

- Public law as distinct from civil law
- Does NOT regulate the relationship between private individuals or citizens.
- SPECIFICALLY a legal relationship in which the state is involved.
- State organs among themselves or state - citizen
- State-State

For commercial law, demarcation between public law and civil law hardly possible!

International Business Law - State Treaties

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State treaties = **Public Law**

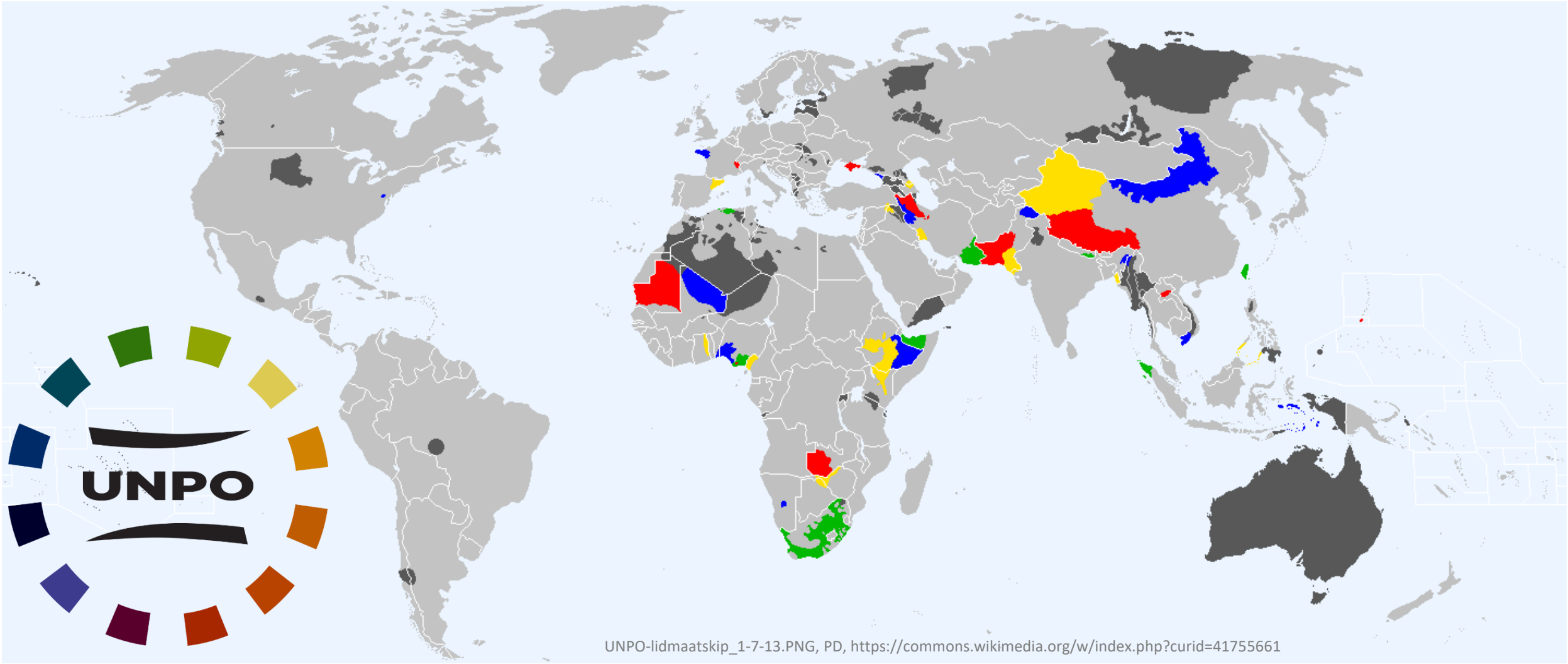
State has four basic elements:

1. State power
2. State people (citizenship)
3. State territory
4. Recognition as a sovereign state



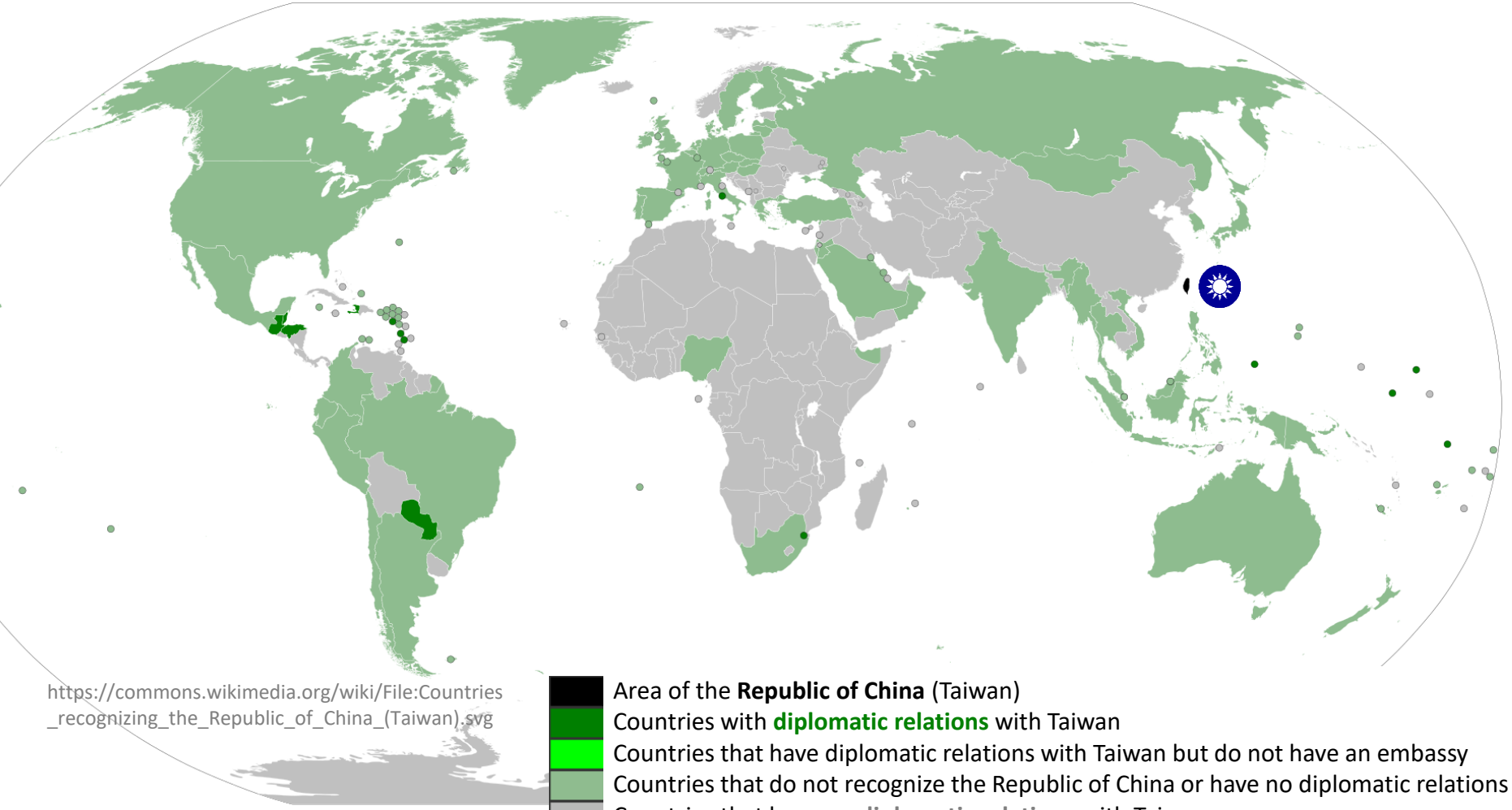
Unrepresented Nations and Peoples Organization

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UNPO-lidmaatskip_1-7-13.PNG, PD, https://commons.wikimedia.org/w/index.php?curid=41755661

Countries Recognizing the Republic of China



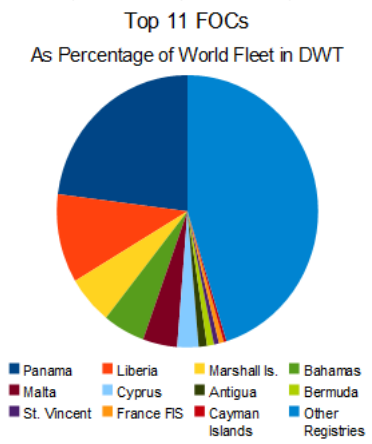
https://commons.wikimedia.org/wiki/File:Countries_recognizing_the_Republic_of_China_(Taiwan).svg

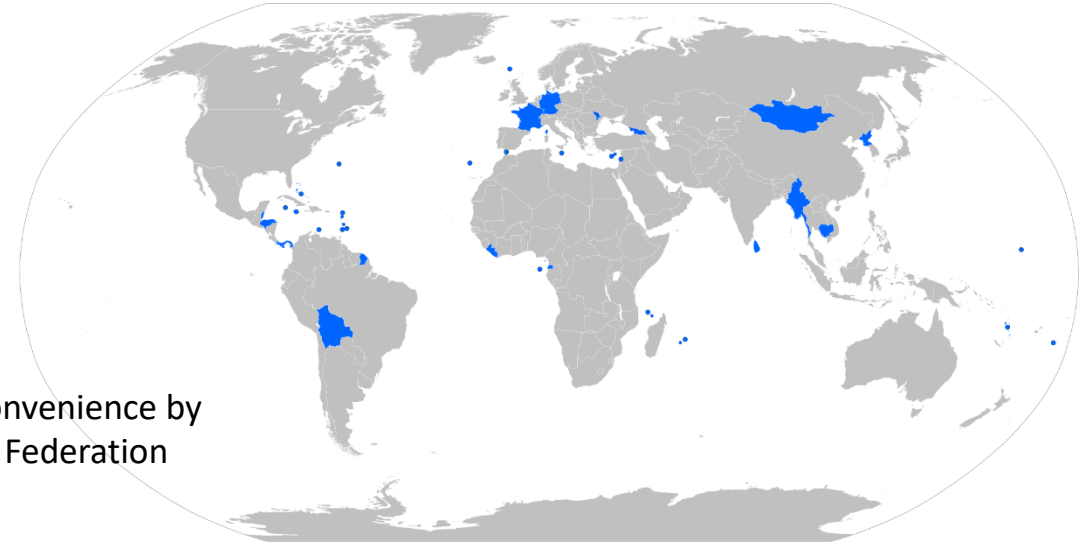
- Area of the **Republic of China** (Taiwan)
- Countries with **diplomatic relations** with Taiwan
- Countries that have diplomatic relations with Taiwan but do not have an embassy
- Countries that do not recognize the Republic of China or have no diplomatic relations with Taiwan but have a representative office
- Countries that have **no diplomatic relations** with Taiwan

- Belize
- Eswatini
- Guatemala[63]
- Haiti
- Holy See (Vatican City)
- Honduras
- Marshall Islands
- Nauru
- Palau
- Paraguay
- Saint Kitts and Nevis
- Saint Lucia
- Saint Vincent and the Grenadines
- Tuvalu

National Territory

- Ground, air, water
- Territorial waters according to UN Convention on the Law of the Sea = 12 nautical miles (approx. 22 km), beyond that a lawless area = high seas
- Airspace boundary 100 km
- In the lawless area, the principle of the flag applies, i.e. the law of the state under whose flag a ship / airplane is sailing applies.





Countries listed as having a flag of convenience by the International Transport Workers' Federation

National Territory

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AIRFRANCE

Case:

A British top model hit the flight attendant of Brazilian nationality on board an Air France plane during a flight from New York to Paris over the Atlantic because a suitcase had not come on board. Which law is applicable?







Answer:

Since the plane had already moved in lawless airspace when the attacks took place, the flight attendant's claims for damages and compensation for pain and suffering against the top model are governed by the law of the flag, i.e. French law in the case of Air France.

National Territory

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Case:

A cruise ship travelling from Germany towards Italy was hit by a giant wave off the Spanish coast. One passenger on the ship was killed. The ship was sailing under the Greek flag.
The relatives are claiming damages and compensation for pain and suffering from the owner of the ship. Which law is applicable?







Answer:

If the ship was already in Spanish territorial waters, Spanish law applies.
If it was still on the high seas, Greek law applies.

Nationality

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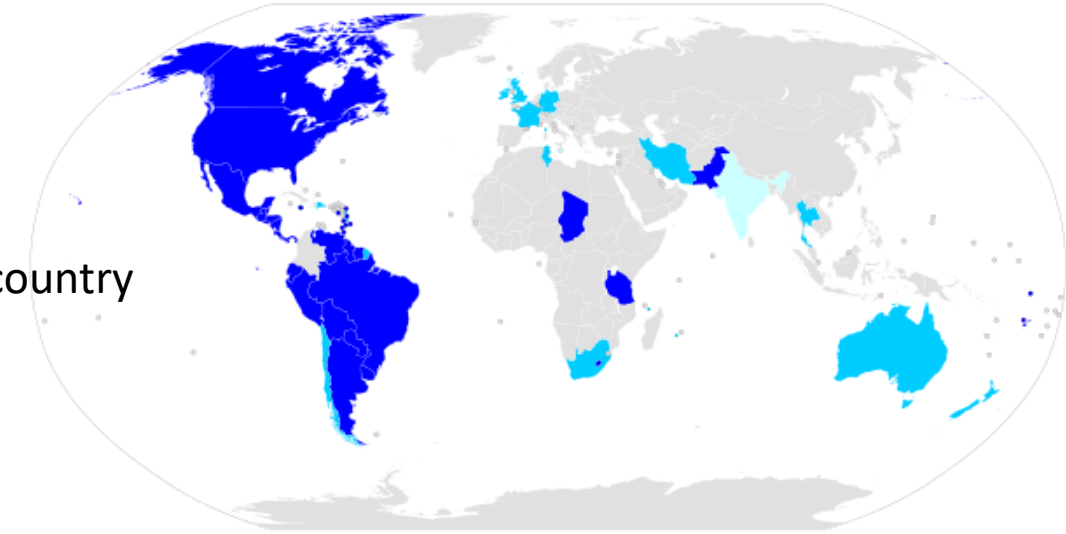
Three ways to acquire:

- By descent from one parent (**right of blood; Jus sanguinis**).
- Natural person acquires citizenship of the state in which he or she was born (**right of the soil, Jus soli**)
- Naturalisation

Problem with the law of the soil: nationality tourism



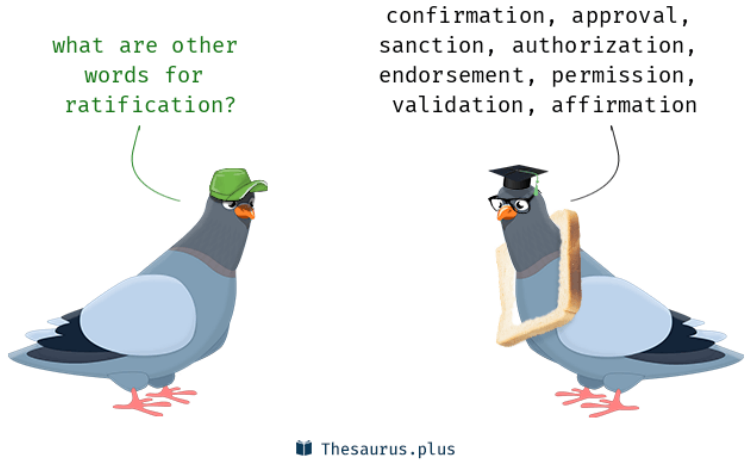




Ratification

(Latin: *ratus facere* = to make valid).

However, a treaty between states (international law level) only becomes directly applicable domestic law (state level) when it has been ratified.
Ratification takes place through the legislative process of the respective state.
A long time can therefore elapse between the conclusion of a treaty under international law and its implementation in domestic law.

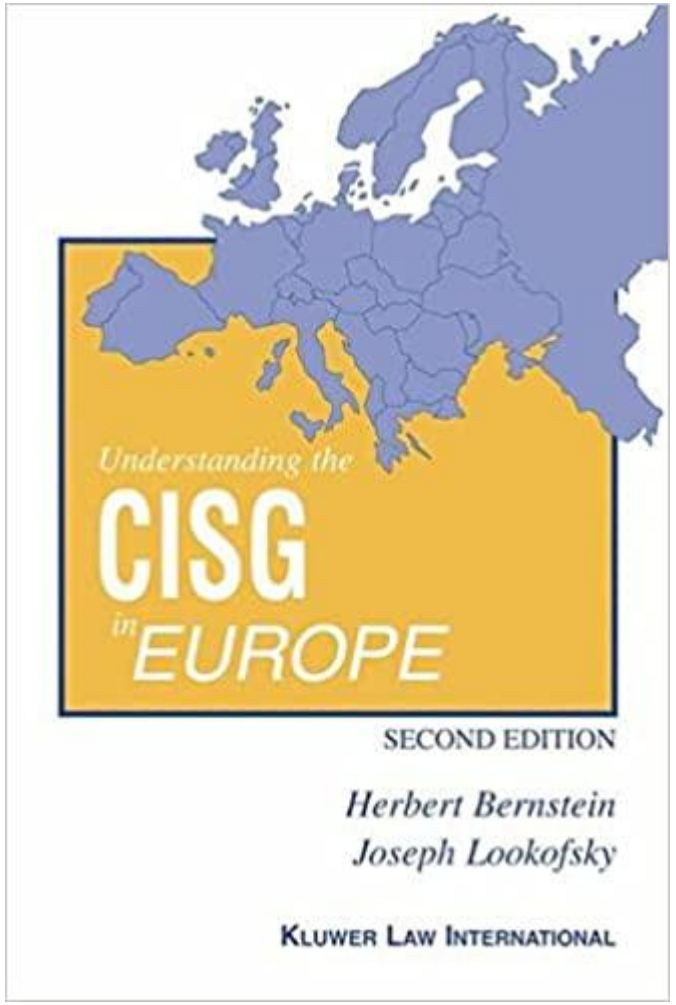


2. Legal sources and economic order

Contracts on Commercial Transactions

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- ROME I REGULATION
- Regulation (EC) No. 593/2008 of the European Parliament and of the Council on the law applicable to contractual obligations, abbreviated as the Rome I Regulation, of 17 June 2008 is a regulation that governs private international law in the European Union in the area of contractual obligations. It came into force on 17 December 2009 in all EU states except Denmark.
- UN Sales Convention (**CISG** = United Nations Convention on Contracts for the International Sale of Goods)



Contracts on Commercial Transactions

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- Charter of an International Trade Organisation (**ITO**) of 1948 never came into force
- **GATT** (General Agreement on Tariffs and Trade) as the trade policy part of the ITO to restrict import tariffs and other trade barriers.
- Together with other agreements under the umbrella of the **WTO** (World Trade Organisation), which was created in 1994, GATT has developed into a comprehensive regulatory framework for the liberalisation of trade.





WORLD TRADE ORGANIZATION

Regional Agreements

- **European Union** as an independent legal order with federal elements
- Treaty on the European Economic Area (**EEA**) links the EU with the European Free Trade Association (**EFTA**)







International Business Law - Introduction

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North American Free Trade Agreement (**NAFTA**) as a free trade zone between the USA, Canada and later Mexico.

Concepts: In a free trade area there are no internal tariffs, in a customs union there is also a uniform external tariff

Latin American Integration Association (**ALDAI**), Cartagena Agreement (**Andean Pact**), **Mercosur** (Mercado Común del Sur)

ASEAN (Association of Southeast Asian Nations), **AfCFTA** (African Continental Free Trade Area), **APEC** (Asia-Pacific Economic Cooperation)











ASEAN

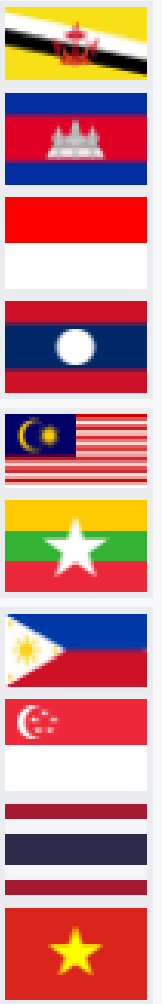
ASEAN (Association of Southeast Asian Nations) was founded in 1967, original goal: to contain communist expansion.

- International organisation based in Jakarta (Indonesia), summits annually in November
- Founding states: **Indonesia**, **Malaysia**, **Philippines**, **Singapore**, **Thailand**
- Later: **Brunei**, **Vietnam**, **Myanmar**, **Laos**, **Cambodia**
- 1977 Agreement on reciprocal preferential tariffs



map: Wikipedia

ASEAN

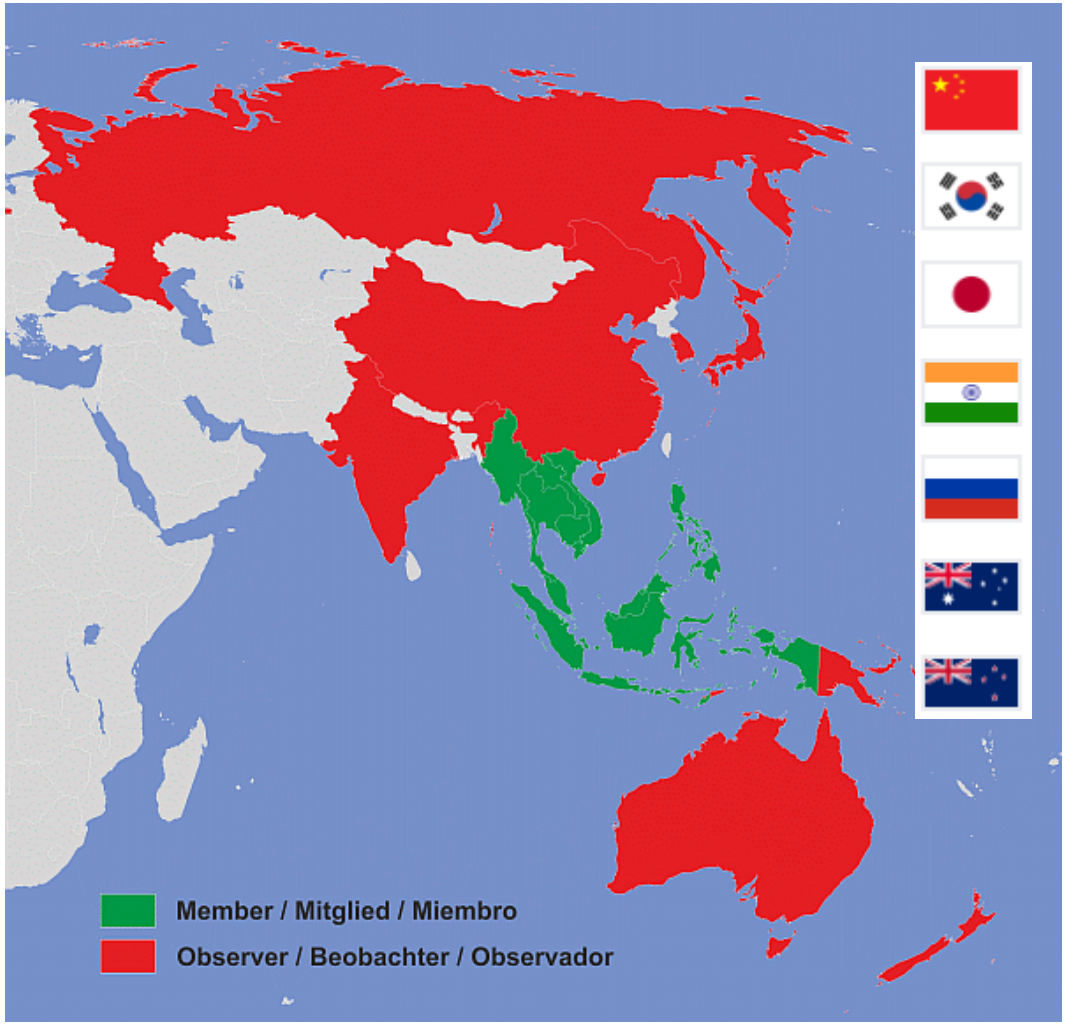




map: Wikipedia

AFTA

- Agreement 2003 on preferential tariffs provides for the gradual lifting of trade barriers and the creation of a free trade area for industrial products (**ASEAN - Free Trade Area** = **AFTA**).
- Provides for significant tariff reduction and elimination of non-tariff trade barriers, modelled on European Union
- Has free trade agreements with **Australia**, **New Zealand**, **India**, **Russia**, **Japan**, **South Korea** and **China**.



http://www.geo-ref.net/de/t-afta.htm

ASEAN

- Low institutionalisation
- Highest body Annual summit meeting of the heads of state and government of the member states
- Programmatic policy decisions in the form of declarations (chairman's statements)
- Other bodies: ASEAN Standing Committee (for day-to-day business), ASEAN High Council (for dispute settlement)







ACFTA (ASEAN-China Free Trade Agreement)

- The ASEAN-China Free Trade Agreement (**ACFTA**) came into force on 1 January 2010.
- Reduction of tariffs by a good 90 % of goods
- Initially, six ASEAN states (**Brunei**, **Indonesia**, **Malaysia**, **Philippines**, **Singapore**, **Thailand**) are participating.
- The remaining countries will follow after a transition period of five years.
- Largest free trade zone in the world with 1.9 billion people



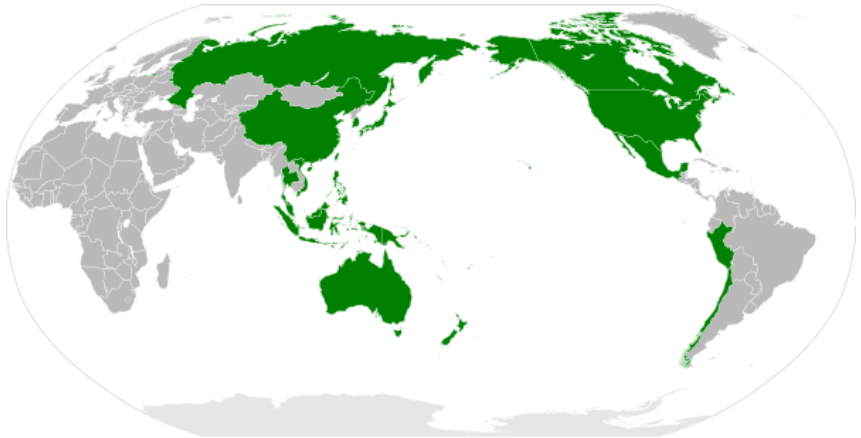


APEC (Asia-Pacific Economic Cooperation)

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- 1989 Foundation of **APEC** (Asia-Pacific Economic Cooperation) for the Pacific region
- Headquarters in Singapore
- Members: **Australia**, **Brunei**, **Canada**, **Chile**, **China**, **Hong Kong**, **Indonesia**, **Japan**, **Malaysia**, **Mexico**, **New Zealand**, **Papua New Guinea**, **Peru**, **Philippines**, **Russia**, **Singapore**, **South Korea**, **Taiwan**, **Thailand**, **USA**
- The creation of a free trade area is envisaged
- APEC, unlike other treaty-based economic areas, is based on non-binding agreements and makes decisions by consensus



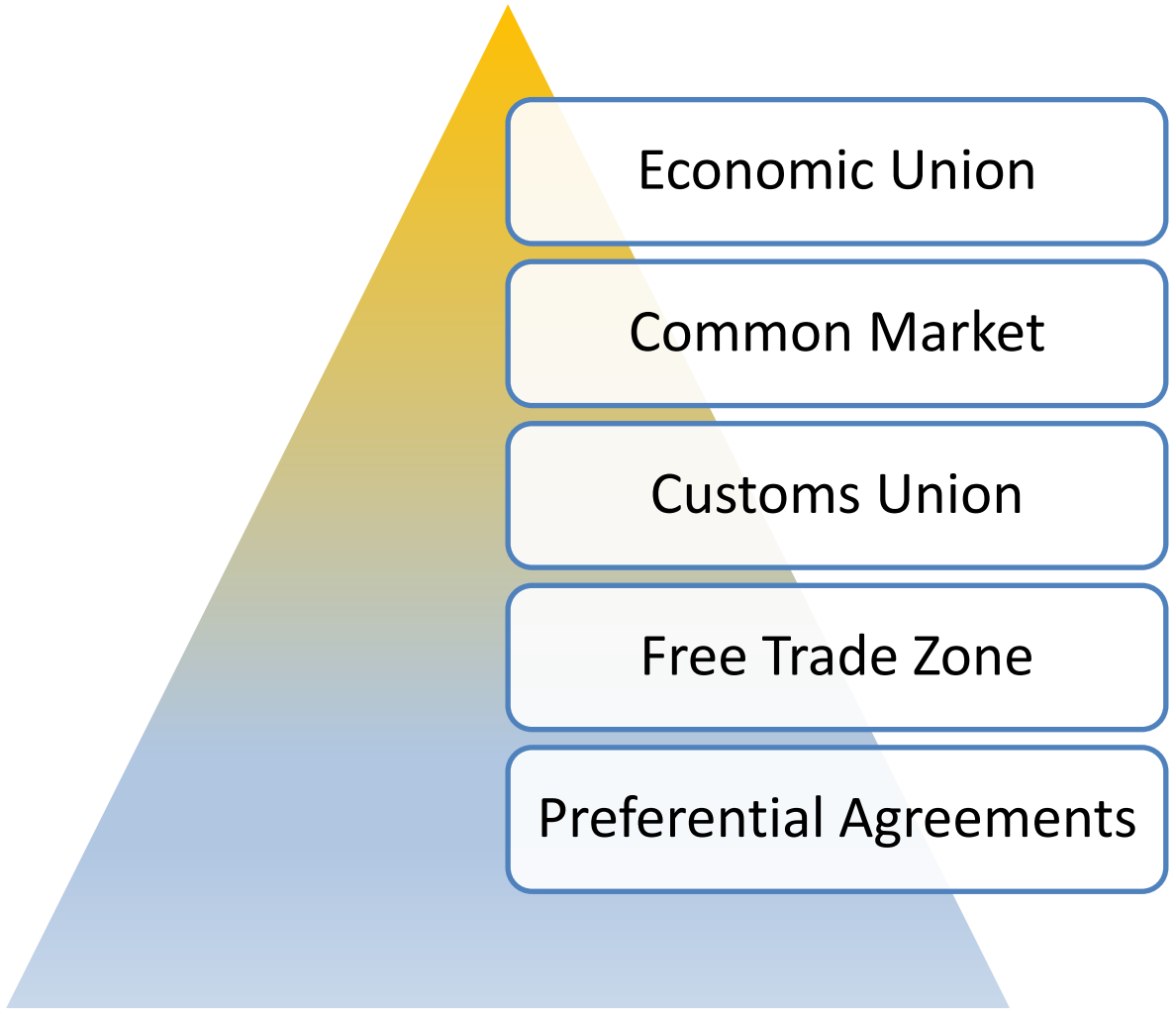


Regional Comprehensive Economic Partnership

- Regional Comprehensive Economic Partnership is a free trade agreement among the Asia-Pacific nations of Australia, Brunei, Cambodia, China, Indonesia, Japan, South Korea, Laos, Malaysia, Myanmar, New Zealand, the Philippines, Singapore, Thailand, and Vietnam
- The 15 member countries account for about 30% of the world's population (2.2 billion people) and 30% of global GDP ($29.7 trillion), making it the largest trade bloc in history
- The trade pact took effect on 1 January 2022



Allocation of Trade Agreements



General Principles of Law

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- **BGB** and **English Common Law** have influenced the law of many states, such as Latin America, Africa, Asia.
- Prohibition of abuse of rights
- ("*The exercise of a right is impermissible if, according to the circumstances, it can only have the purpose of causing harm to another*". E.G. §§ 226, 242 BGB)
- Institute of forfeiture (= statute of limitations)
- Principles of unjust enrichment, management without mandate and good faith
- Assumption of liability
- State succession = successor state
- Prohibition of ***venire contra factum proprium*** (No one may set himself in contradiction to his own previous conduct.)

Venire contra factum proprium

- Contravention of one's own previous conduct.
- In German law of obligations: prohibition of contradictory conduct, breach of good faith according to § 242 BGB.
- This refers to the inadmissible exercise of rights where, within a contractual obligation, the party entitled has himself created a factual situation on the existence of which the other party was entitled to rely and did rely.
- For example, if the entitled party expressly prevents the other party from observing the required form and then later pleads ineffectiveness of form.

Public international law:

- Venire contra factum proprium is usually referred to as **estoppel** in international law.
- A state may not deviate from its previous practice to the detriment of another state that has justifiably relied on the other's previous declaration or practice

Estoppel

Estoppel is a judicial device in common law legal systems whereby a court may prevent or "*estop*" a person from making assertions or from going back on his or her word; the person being sanctioned is "estopped".
Estoppel may prevent someone from bringing a particular claim.



Transnational Law

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Consistent basic values in the assessment of conflicts of interest

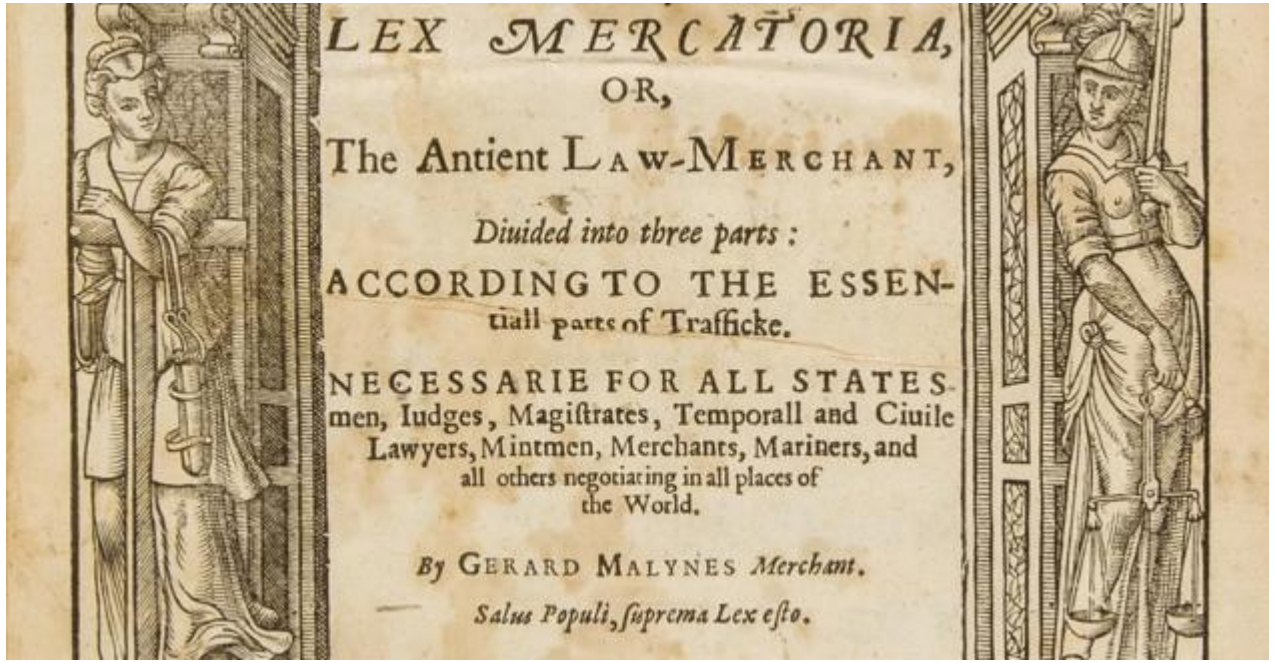
- "*lex mercatoria*" or international commercial customs (e.g. International Commercial Terms, INCOTERMS)
- Prohibition of bribery and invalidity under civil law of contracts obtained through bribery

Reference to internationally recognised legal principles in contracts is increasingly recognised by national legal systems and arbitral tribunals as a basis for decision-making; it then no longer matters which national law applies to a dispute

Transnational Law

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Lex mercatoria (Latin: "*merchant law*") refers to the autonomous law of international trade that is detached from state civil law systems and not regulated by international treaties.



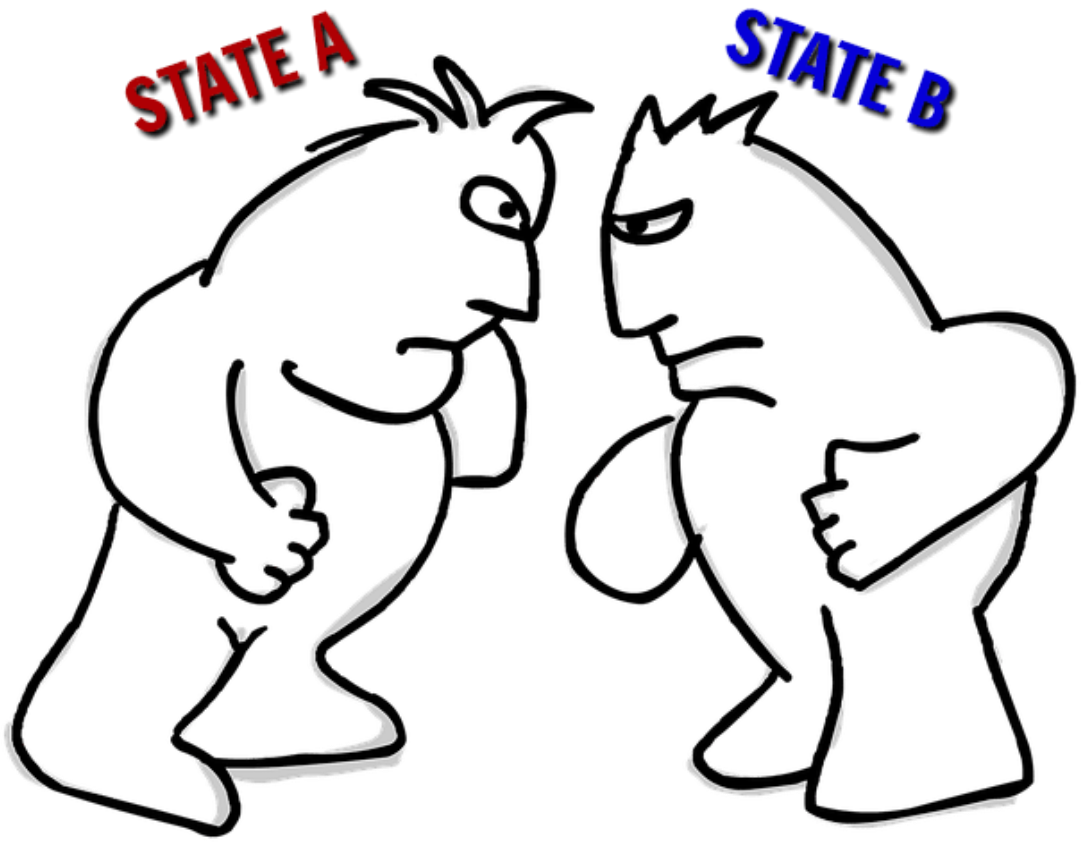
2. Legal Sources and Economic Order

2.1. Conflict of Laws

Conflict of Laws

Definition:
Conflict of laws rules are those rules that aim to clarify which legal system applies in cases involving foreign countries.

Figuratively speaking, two or more legal systems collide with each other.



Conflict of Laws

- Independent conflict of laws of German law in the Introductory Act to the Civil Code (Art. 3-46 EGBGB).
- Norms of the legal system found are called substantive norms or substantive law (not to be confused with property law).
- Conflict-of-law rules essentially consist of two parts, the connecting object and the connecting point

Conflict of Laws: Connecting Point

= Factual characteristic that serves to legally classify the facts of the case:

- Claim for damages → Tort law
- Succession → Inheritance law
- Defects in the object of sale → Contract law

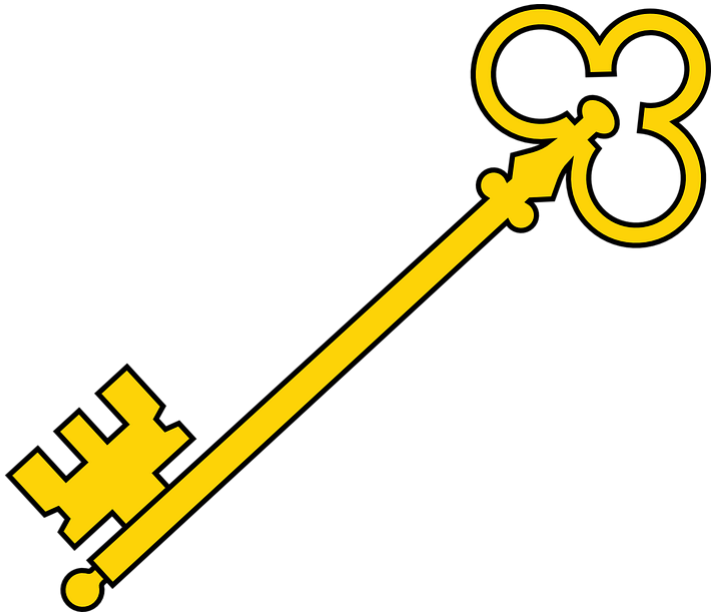
Conflict of Laws: Connecting Point

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Legal term referring to legal order

Key to the gateway to a particular legal system

- Nationality
- Residence
- Habitual residence
- Place of action
- Place of occupation (= real property)
- Will of the parties (choice of law in contract law)



Conflict of Laws: Place of Action

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General: Law of the place of action

But: Exception to the place of action rule = loosening or escape clauses

Conflict of Laws: Place of Action

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Case:

Two students, A and B from Germany, both German nationals, did a three-month internship together in South Africa.



During a weekend excursion, A, who was driving the car, turned into the right lane of the National Road in disregard of the left-hand driving ban in South Africa and collided head-on with a vehicle that was properly driving on the left.



B was seriously injured in the accident and sued A in Germany for damages and compensation for pain and suffering.



According to which law is the defendant A liable?

Conflict of Laws: Place of Action

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Solution:

- Case with foreign contact: conflict of laws
- Hague Convention not signed by FRG
- EC Regulation ROM II-VO not ratified by FRG at this time
- Art. 40 I p. 1 EGBGB, rule of place of offence







2.1 Conflict of Laws

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Which law is applicable to a particular situation?

The connecting factors for the application of national law are the following principles:

- **Principle of territoriality** = place of the act or of the occurrence of the result.
- **Principle of personality** = nationality or domicile of the person acting
- **Protection principle** = protection of state security or other high-value domestic legal interests
- **Principle of universality** = prosecution of globally outlawed conduct

2.1 National Business Law

National business law is fundamentally territorial.

Foreign trade law regulates the cross-border movement of goods and capital.

Control instruments of foreign trade law:

- Customs duties
- import and export restrictions
- Licence reservations
- Subsidies

Extraterritorial Application

- Extraterritorial application of national rules is an important topic in international business law
- Regulatory purpose of certain provisions can often only be achieved by extending them to situations abroad
- According to applicable customary international law, there must be a "sufficient connection" to the legislating state

Extraterritorial Application

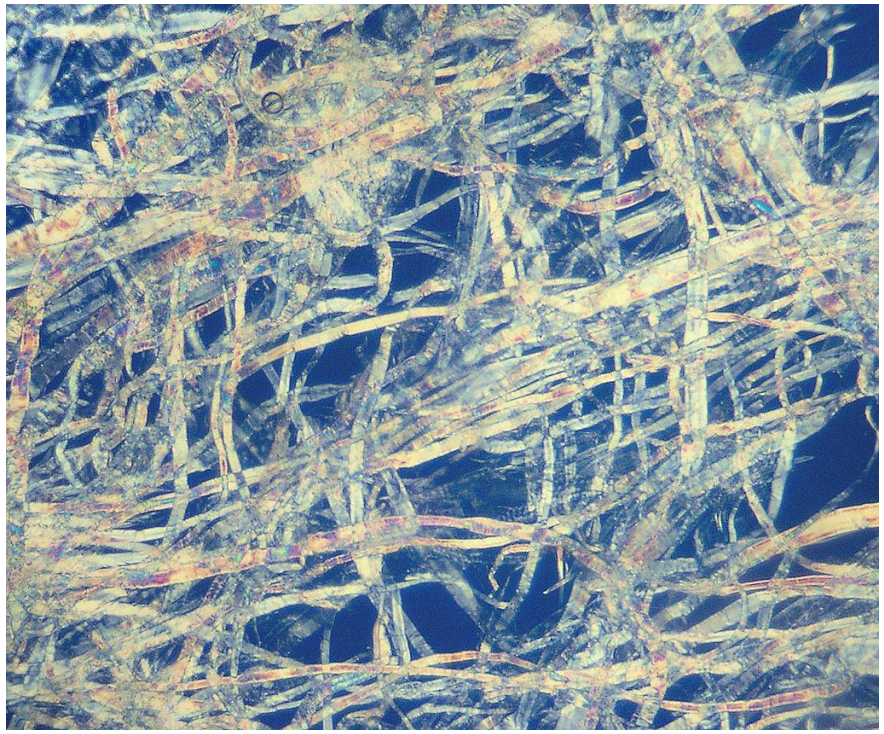
Effect principle as an extension of the territoriality principle: effects of a transaction affect a state, while the triggering act is carried out abroad.

- Main case of application: competition law
- Pulp case: price fixing by foreign producers, which should also apply to sales in the EU
- Conditions imposed by the European Commission on Boeing/McDonnell merger; prohibition of Honeywell/General Electrics merger

2.1 Pulp Case

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In the pulp case, the European Community Commission imposed fines on producers of pulp established outside the Communities who had concluded agreements among themselves on uniform pricing. These price agreements were also to apply to sales in the Communities (by the producers or distributors).
The European Court of Justice considered the extension of Art. 81 EC (Art. 101 TFEU) to be a permissible application of the territoriality principle under international law, since the price agreements had the object or effect of restricting competition within the common market.



Jan Homann, PD, https://commons.wikimedia.org/w/index.php?curid=1004696

Source: EuGH, verb. RS. 89, 104, 114, 116, 117, 125-129/85, Zellstoff, Slg. 1988, 5193.

2.1. Boeing/McDonell Case

In the Boeing/McDonell case, following disputes with the USA, the European Commission subjected a merger of American aircraft manufacturers to EC competition law with regard to the effects on the European aircraft market and approved this merger with drastic conditions.

Source: ABl. EG 1997 L 336, p. 16





2.1. Honeywell Case

In view of the damaging consequences for the European market for aircraft components, the European Commission completely prohibited the takeover of the US company **Honeywell** by the (also US) company **General Electric** on 3.7.2001.

Source: ABl. EG 2004 L 48, S. 1.

Honeywell



2.1 Extraterritorial Application

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Prohibition of excessive regulations with extraterritorial application.

Limitation of the effect principle to conduct that has a substantial, direct and foreseeable effect domestically ("*reasonable*")

Regulatory conflicts with USA

- US competition law has stricter rules than EU law
- Control of the conduct of foreign subsidiaries of US corporations
- Sanctions legislation against Iran and Libya with EU defensive regulation

2.1. Forum Shopping

- **Forum shopping** refers to the danger that, through a clever choice of law, the forum for resolving disputes will end up in a court that rules in a way that is favourable to the plaintiff who has chosen this forum.
- Probably rather a theoretical question, since such a choice requires a great deal of effort and the existence of the prerequisites for an international forum.



2. Legal Sources and Economic Order

2.1 Conflict of laws

2.2 Subjects of the IBL

Subjects of International Business Law

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States

- Holders of regulatory power
- Participants in economic transactions

States are free to shape their economic order (prohibition of intervention)

The model of a centrally controlled economic order with a monopoly on foreign trade has lost importance with the collapse of the communist systems in Eastern Europe.

Justification of state activity in services of general economic interest ("*services of general interest*")

Subjects of International Business Law

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State-owned enterprises

- Participation of states in economic transactions via independent enterprises
- Administrative form of organisation or capital company

State liability only under special circumstances

- Undercapitalisation
- Abuse of rights
- Chernobyl reactor accident did not lead to liability of the Soviet state

Subjects of the International Business Law

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International Organisations

- Founding treaty under international law of the member states
- Legal personality
- Regulatory function (binding rules between member states or recommendations)
- Coordination and consultation
- Support function

Subjects of the International Business Law

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Liability for economic activity passed on to member states?

- Insolvency of the International Tin Council
- Founding documents of international organisations often contain limitation of the liability of member states to contributions

Case: International Tin Council

In the case of the International Tin Council (ITC), an international commodity organisation based in London, the claims at the time of the out-of-court settlement of the dispute amounted to 513 million English pounds.

It was the aim of the organisation to achieve a balanced world market price for the metal through strategic purchases and sales of tin via so-called compensation stocks.

Due to risky transactions of the warehouse manager on the metal exchange, the ITC became heavily indebted to its creditors in 1985



Case: International Tin Council

In the subsequent court cases before various courts (ECJ, American and British courts), the question arose as to whether member states are liable for their organisation's civil liabilities.

This issue is controversial and has not been resolved to date.

The consequence of the insolvency of the International Tin Council (1985) was the liquidation of this international organisation by treaty, i.e. actus contrarius to its founding act.

The Tin Council was dissolved by agreement in 1990.



Subjects of the International Business Law

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Important international organisations:

- World Trade Organization (**WTO**)

WORLD TRADE ORGANIZATION

Specialised agencies of the United Nations

- International Labour Organization (**ILO**)
- Economic and Social Council (**ECOSOC**)
- United Nations Conference on Trade and Development (**UNCTAD**)
- United Nations Commission on International Trade (**UNCITRAL**)

ILO
International Labour Organization

UNITED NATIONS CONFERENCE ON TRADE AND DEVELOPMENT
UNCTAD

Subjects of the International Business Law

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International Monetary Fund (IMF)

- Monitoring and coordinating exchange rates and monetary policy
- Granting loans in the event of balance of payments difficulties

World Bank

- Loans for developing countries

THE WORLD BANK

Regional development banks

- **Asian Development Bank** (primary task is poverty reduction)

ADB

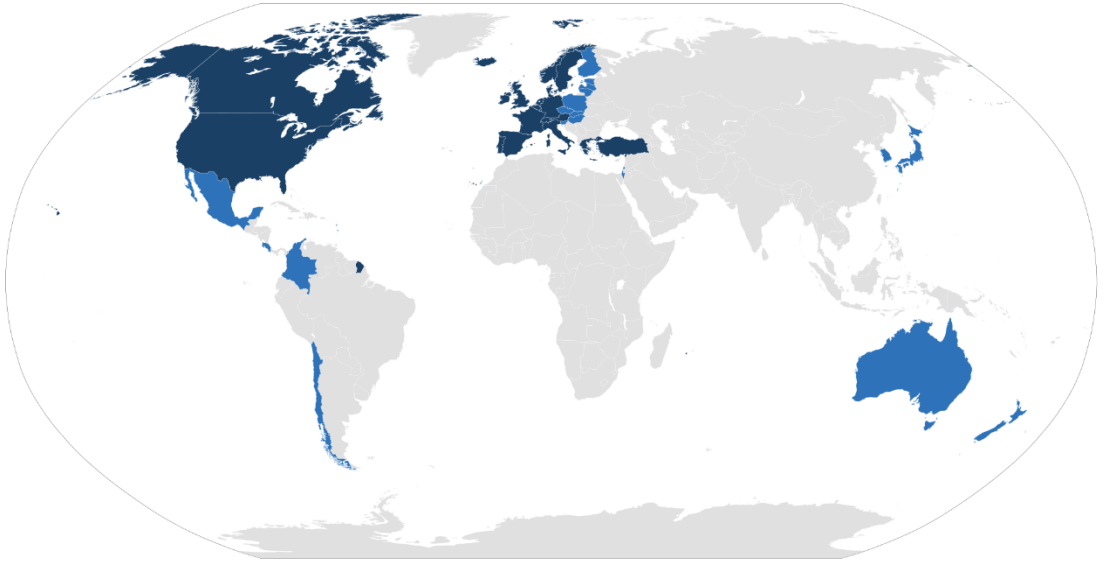
Subjects of the International Business Law

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Regional economic organisations:

Organisation for Economic Co-operation and Development (OECD)

- 30 largest industrialised countries of the western world
- Coordination of economic and monetary policy
- Promotion of economic growth in developing countries



Subjects of the International Business Law

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European Union (**EU**)

28 member states

- High degree of economic, legal and political integration
- Own legislative power
- Single market and monetary union

European Free Trade Association (**EFTA**)

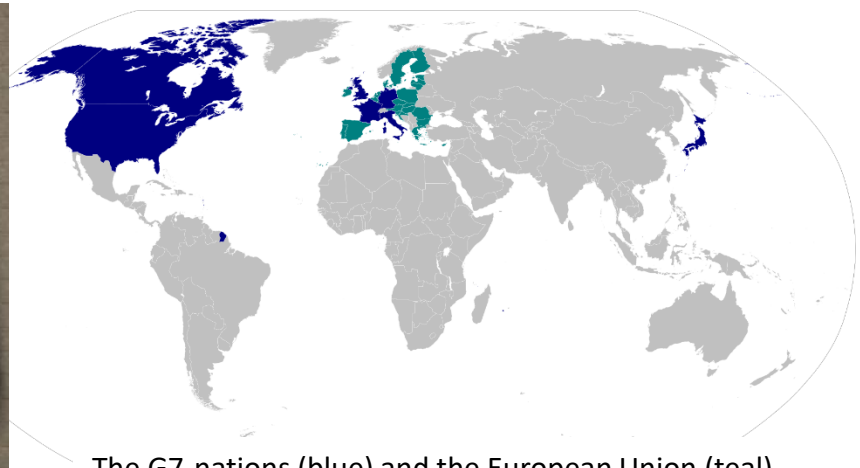
- Iceland, Norway, Switzerland, Liechtenstein
- Integration into EU Single Market through EEA Treaty

Subjects of the International Business Law

Intergovernmental cooperation without institutionalisation in international organisations: **G-7** or formerly **G-8** (Group of Eight).

- **Germany**, **France**, **UK**, **Italy**, **Japan**, **Canada**, **USA** and ~~**Russia**~~
- "*World Economic Summit*"
- Shaping global economic and monetary policy
- Shaping of an international financial architecture





The G7-nations (blue) and the European Union (teal)

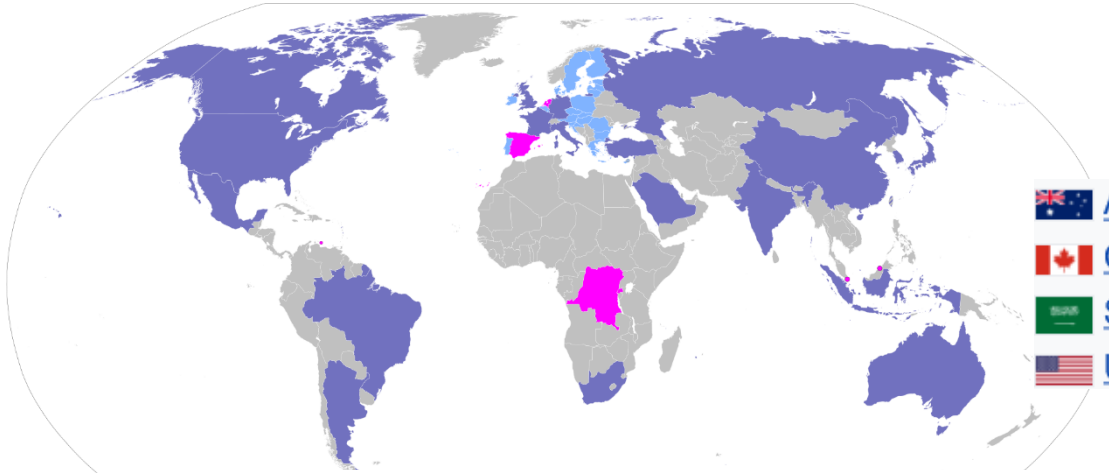
United States
United Kingdom
Canada
France
Germany (2022 Host)
Italy
Japan
European Union

Subjects of the International Business Law

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G-20

- Inclusion of important emerging countries (Argentina, Brazil, China, India, Indonesia, Mexico, Saudi Arabia, Spain, South Africa, South Korea, Turkey).
- In combating the financial and economic crisis, G-20 has become much more important than G-8
- G-20: Towards a World Government?



G20 members (dark blue), countries represented through the European Union (light blue) and invited states (pink).

Australia	India	Argentina	France	China
Canada	Russia	Brazil	Germany	Indonesia
Saudi Arabia	South Africa	Mexico	Italy	Japan
United States	Turkey		United Kingdom	South Korea

Subjects of the International Business Law

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International non-governmental organisations (NGOs)

- Foundation according to the law of individual states
- Observer status with international organisations
- Influence on the behaviour of states and private individuals

Important NGOs:

- **International Chamber of Commerce Paris** (ICC, Court of Arbitration), **Greenpeace**, **Amnesty International**, **Transparency International**, **Attac**

Subjects of the International Business Law

Private enterprises

- Sponsors of international economic transactions
- Lending to financially weak countries

Effective self-binding of the state in contracts with private enterprises?

- State can change its own law at any time
- Contract can be withdrawn from the reach of national law
- Company then acquires limited subjectivity under international law

Subjects of the International Business Law

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Enterprises are not directly bound by human rights standards of customary international law, but States Parties are obliged to protect them.
Codes of Conducts for enterprises (Code of conduct for enterprises)

OECD Guidelines for multinational Enterprises

- Economic, social, environmental responsibility
- Human rights
- Local capacity building
- Corporate governance (=principles of corporate management)



Subjects of the International Business Law

- Implementation of social standards
- Prohibition of child labour
- Payment of wages that cover the cost of living
- Wage cuts as a disciplinary measure are not permitted
- Regular maximum working hours per week shall be 48 hours
- Weekly working time including overtime shall not exceed 60 hours



Codes of Conduct

- Right to at least one day off work per week
- Right to form workers' organisations
- Prohibition of discrimination on the basis of workers' personal characteristics or beliefs
- Forced labour, corporal punishment is prohibited
- Safe and healthy working conditions

OECD GUIDELINES FOR MULTINATIONAL ENTERPRISES

Subjects of the International Business Law

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Global Compact

- Human Rights
- Labour Standards
- Environment
- Anti-corruption

United Nations Global Compact

Global Reporting Initiative (GRI)

- Transparency
- Sustainability report comparable Annual financial statement

GRI Empowering Sustainable Decisions

Subjects of the International Business Law

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